

		The moving party must not only show that there was violation of the court's order, but that such violation was willful. (<i>Doppes, supra</i>, 174 Cal.App.4th at 992.) Although Plaintiff has shown that in other litigation against Defendant, Defendant similarly failed to respond to discovery requests, this is insufficient to show Plaintiff's failure to comply with the Court's Orders at issue in this case was willful. Further, there has been no incremental approach to sanctions and lesser sanctions of issue, evidentiary, and/or monetary sanctions are appropriate at this time. Accordingly, Plaintiff's request for terminating sanctions is DENIED. <u>Request for Issue and Evidentiary Sanctions:</u> Pursuant to California Rules of Court, Rule 3.1345(a)(7), a separate statement is required for a motion for issue or evidentiary sanctions. Plaintiff has not filed a separate statement in support of its request for issue and evidentiary sanctions and therefore failed to comply with Rule 3.1345(a)(7). Accordingly, Plaintiff's request for issue and evidentiary sanctions is DENIED. <u>Request for Monetary Sanctions:</u> Plaintiff's request for monetary sanctions is GRANTED in the reduced amount of \$2,076. Defendant is ORDERED to pay \$2,076 in monetary sanctions to Plaintiff within 20-days' notice of this ruling. Defendant is ORDERED to comply with the Court's 4-23-24 and 4-30-24 Orders within 20-days' notice of this ruling. The Court warns Defendant that failure to comply with the Court's Order will result in more severe sanctions, which may include terminating sanctions. Plaintiff to give notice.
7	Sentinel Strategic Services, LLC. vs. Solera at Apple Valley Community Association, Inc. 2024-01399350	Defendant's Special Motion to Strike Complaint Defendant Solera at Apple Valley Community Association, Inc.'s Special Motion to Strike is GRANTED in part and DENIED in part. The Association seeks an order striking Plaintiff's Complaint under CCP § 425.16 – anti-SLAPP statute.

Legal Standard Generally

Code of Civil Procedure section 425.16 provides: “A cause of action against a person arising from any act of that person in furtherance of the person’s right of petition or free speech under the United States Constitution or the California Constitution in connection with a public issue shall be subject to a special motion to strike, unless the court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim.” (Code Civ. Proc., § 425.16, subd. (b)(1).)

“Section 425.16 posits ... a two-step process for determining whether an action is a [strategic lawsuit against public participation]. First, the court decides whether the defendant has made a threshold showing that the challenged cause of action is one arising from protected activity.... If the court finds that such a showing has been made, it must then determine whether the plaintiff has demonstrated a probability of prevailing on the claim.” (*Navellier v. Sletten* (2002) 29 Cal.4th 82, 88.) “Only a cause of action that satisfies both prongs of the anti-SLAPP statute – i.e., that arises from protected speech or petitioning and lacks even minimal merit – is a SLAPP, subject to being stricken under the statute.” (*Id.* at 89.)

A defendant has the initial burden of demonstrating that the suit arises from conduct described in Code Civ. Proc. § 425.16, and that it is not subject to the exceptions contained in Code Civ. Proc. § 425.17. (*Brill Media Co., LLC v. TCW Group, Inc.* (2005) 132 Cal.App.4th 324, 330.) Defendant need only make a prima facie showing of protected activity under Section 425.16, and the burden then shifts to plaintiff to establish, as a matter of law, that no such protection exists. (Code Civ. Proc. § 425.16(b), and *Governor Gray Davis Committee v. American Taxpayers Alliance* (2002) 102 Cal.App.4th 449, 458-459.) Once the burden shifts, the plaintiff must thus demonstrate that the complaint is both legally sufficient and supported by a prima facie showing of facts to sustain a favorable judgment. (*Premier Med. Mgt. Systems, Inc. v. California Ins. Guar. Ass’n* (2006) 136 Cal.App.4th 464, 472.)

Step One – Protected Activity

Section 425.16, subdivision (b)(2) provides that in making its determination under prong one, “the court shall consider the

	pleadings, and supporting and opposing affidavits stating the facts upon which the liability ... is based.” A court considering an anti-SLAPP motion might look to the affidavits and other evidence to determine whether a cause of action has been mislabeled. (See <i>Hylton v. Frank E. Rogozienski, Inc.</i> (2009) 177 Cal.App.4th 1264, 1272.) The purpose of doing so as part of a prong-one analysis is not to make factual findings or draw inferences about the plaintiff’s underlying motive or strategy in bringing the suit, but simply to help understand the substance of the cause of action or theory of liability the plaintiff is asserting, i.e., to identify the “ ‘injury-producing conduct ... that provides the foundation for the claim.’ ” (<i>Id.</i>) The case law is unequivocal that only the substance of the plaintiff’s claims is relevant under the anti-SLAPP statute; the plaintiff’s subjective intent or tactical motives in bringing suit are irrelevant. (<i>City of Cotati v. Cashman</i> (2002) 29 Cal.4th 69, 78.) “The sole inquiry under the first prong of the anti-SLAPP statute is whether the plaintiff’s claims arise from protected speech or petitioning activity. [Citation.] Our focus is on the principal thrust or gravamen of the causes of action, i.e., the allegedly wrongful and injury-producing conduct that provides the foundation for the claims.” (<i>Castleman v. Sagaser</i> (2013) 216 Cal.App.4th 481, 490–491.) “A cause of action does not ‘arise from’ protected activity simply because it is filed after protected activity took place. [Citation.] Nor does the fact ‘[t]hat a cause of action arguably may have been triggered by protected activity’ necessarily entail that it arises from such activity. [Citation.] The trial court must instead focus on the substance of the plaintiff’s lawsuit in analyzing the first prong of a special motion to strike.” (<i>Peregrine Funding, Inc. v. Sheppard Mullin Richter & Hampton LLP</i> (2005) 133 Cal.App.4th 658, 669; see also <i>Freeman v. Schack</i> (2007) 154 Cal.App.4th 719, 727 [“ ‘when the allegations referring to arguably protected activity are only incidental to a cause of action based essentially on nonprotected activity, collateral allusions to protected activity should not subject the cause of action to the anti-SLAPP statute’ ”].) First, the Court must look at whether the alleged protected conduct/statements are the gravamen of the claims. The court should look at the pleadings and any evidence provided with
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	the moving and responding papers. (<i>Hylton, supra</i>, 177 Cal.App.4th at 1272.) “At the first step, the moving defendant bears the burden of identifying all allegations of protected activity, and the claims for relief supported by them. When relief is sought based on allegations of both protected and unprotected activity, the unprotected activity is disregarded at this stage. If the court determines that relief is sought based on allegations arising from activity protected by the statute, the second step is reached.” (<i>Baral v. Schnitt</i> (2016) 1 Cal.5th 376, 396.) 393 “The anti-SLAPP procedures are designed to shield a defendant's constitutionally protected conduct from the undue burden of frivolous litigation. It follows, then, that courts may rule on plaintiffs' specific claims of protected activity, rather than reward artful pleading by ignoring such claims if they are mixed with assertions of unprotected activity.” (<i>Id.</i> at 393.) There are four categories of protected speech for an anti-SLAPP motion (Code Civ. Proc., § 425.16(e)): 1. Statements made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law; 2. Statements made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law; 3. Statements made in a place open to the public or a public forum in connection with an issue of public interest; or 4. Any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest. The relevant allegations of Plaintiff's Complaint against the Association is the posting of the following message on the Association's Facebook page, which is a public page accessible to all members and residents. SENTINEL STRATEGIC SECURITY ABANDONMENT OF CONTRACT Tuesday, January 2, 2024 Dear Solera Community, Since July 1st Sentinel Strategic Services has managed our security operations for this community. During their tenure the Board of Directors has voiced concerns to them about their overall performance based upon observations of the Directors and feedback from the community.
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Ultimately, they were unresponsive to some of the concerns expressed and we as the Board of Directors felt that a change was necessary. The contract with Sentinel requires a notice of termination and an agreed upon period for that transition to occur. We provided Sentinel with the appropriate notice, per the contract, and they made the decision to abandon their operations today without notice. As the Board of Directors we have made the decision to move forward and ask Seabreeze Management Company to staff the gate houses regularly. We believe that this will enhance our staff communication and integration into the community which will provide a better experience for residents and visitors. We have hired Carla Kindt to oversee the operation of the gate houses and Robert Witcher is recruiting to establish the staff for that new function. In the interim Seabreeze has agreed to use existing staff members to maintain continuity of our community operations at the gate houses. We will strive to keep you informed and appreciate your support and patience as we manage this ongoing situation on behalf of our community. Best regards, The Board of Directors

(Witcher Decl., at ¶ 32, Ex. 6.)

This same message was also sent out via an email blast to the Association's residents. (Id. at ¶ 34.) The listserv contained approximate 1,000 email addresses, mostly containing the email addresses of residents and management staff members. (Ibid.)

In the context of homeowner associations disputes, courts have broadly defined the term "public interest" to include private conduct that affects a community in a manner similar to that of a governmental entity. (*Colyear v. Rolling Hills Community Association of Rancho Palos Verdes* (2017) 9 Cal.App.5th 119, 131.) "For many Californians, the homeowners association functions as a second municipal government." (*Chantiles v. Lake Forest II Master Homeowners Assn.* (1995) 37 Cal.App.4th 914, 922.) The California Supreme Court recognized that owners of planned development units comprise "a little democratic subsociety." (*Nahrstedt v. Lakeside Village Condominium Assn.* (1994) 8 Cal.4th 361, 374.) As such, matters of public interest include private persons and entities, especially when a large, powerful organization, like a

	homeowner’s association, impacts the lives of so many individuals. (<i>Cabrera v. Alam</i> (2011) 197 Cal.App.4th 1077, 1088.) In <i>Dubac v. Itkoff</i> (2024) 101 Cal.App.5th 540, the court observed that “California’s anti-SLAPP jurisprudence has struggled to define what makes something an issue of public, rather than private, interest...It has been a struggle because the distinction between public and private is notoriously difficult to state in clear and simple terms.” (Id. at 354.) The <i>Dubac</i> court turned to factors set out in <i>Geiser v. Kuhns</i> (2022) 13 Cal.5th 1238, 1248, to help determine when a statement implicates a public interest: 1. The statement concerns a person or entity in the public eye; 2. the statement concerns conduct that could directly affect a large number of people beyond the direct participants; 3. the statement concerns a topic of widespread public interest; 4. the issue is of concern to a substantial number of people; or 5. the issue has been the subject of extensive media coverage. (<i>Dubac</i>, supra, 101 Cal.App.5th at 549.) The court noted that factors two, three, and four...repeat variations on a consistent theme: they stress the significance of how many people are affected by or interest in, a purportedly public issue.” (Ibid.) In <i>Damon v. Ocean Hills Journalism Club</i> (2000) 85 Cal.App.4th 468, the court held allegedly defamatory statements made at HOA Board meetings and in the HOA newsletter criticizing HOA management were protected activity. The court held that HOA meetings and the local newsletter constituted “public forums” and management of the 1,633-home HOA was an issue of public interest under section 425.16(e)(3). (Id. at 475-480.) <i>Lee v. Silveira</i> (2016) 6 Cal.App.5th 527 held that votes by HOA directors at a board meeting related to management and award of a contract were protected activity. The Court agreed
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with *Damon, supra*, that the HOA board meetings were a public forum. (Id. at 539.) The gravamen of the complaint regarding acts of the director defendants was found to involve issues of public interest.

In *Ruiz v. Harbor View Community Association*, a homeowner sued his homeowners association after the association's attorney wrote two letters to the homeowner denying his architectural application; the homeowner sued on nine causes of action, including libel. (*Ruiz, supra*, 134 Cal.App.4th at 1460.) The Court held that, despite the fact that the letters were private, they were written in connection with an issue of public interest, thereby satisfying the first prong under paragraph (e)(4) of the anti-SLAPP statute. (Id. at 1467.) So long as the constitutionally protected activity, at a minimum, occurs in the context of an ongoing controversy, dispute or discussion, then even private conduct is protected under the statute. (Id. at 1467-68.) The Court found that the private letters were protected by the anti-SLAPP statute because they pertained to an ongoing dispute over the approval of the homeowner's architectural plans, and the outcome of such dispute would affect (and therefore was of interest to) hundreds of residents living within the community. (Id. at 1469-70.)

Here, considering the *Geiser* factors and the above reference cases, the Facebook post and email concerned a public interest as it involved the safety and well-being of a large population - approximately 3,000 aged 55+ residents of the community serviced by the HOA. The residents were entitled to know the security patrol would no longer be active and what measures were being done in the interim.

Plaintiff counters that the dispute is essentially a private monetary dispute between the Association and Plaintiff. Although the Association may be relatively large, the dispute does not involve a public issue or an issue of public interest. (See *Third Laguna Hills Mutual v. Joslin* (2020) 49 Cal.App.5th 366 (finding that enforcement of HOA CC&Rs was not a public issue or issue of public interest.)

Although the dispute between Plaintiff and the HOA is monetary in nature, the security services provided by Plaintiff are a matter of public concern. Plaintiff was providing security services somewhat akin to police services provided to a small municipality. The termination of such services impacted the

safety and well-being of the entire community. Thus, the Facebook post and email concerned a public issue.

Further, the statements regarding the cessation of Plaintiff's services were made in a public forum – on Facebook – one of the largest public forums on the internet, and by email blast. The email blast was a public forum in that the communication was a vehicle for transmitting a message about public matters to a large community population, similar to the newsletter in *Damon*.

Accordingly, the Court finds Plaintiff's third through eighth causes of action arise from protected activity as all six causes are predicated on the Association's posting and emailing of the alleged defamatory statement.

The first and second causes of action do not arise from protected activity because the breach of contract and breach of the implied covenant of good faith and fair dealing concern the dispute between Plaintiff and the HOA over the terms of the Agreement. Although the Facebook post and email relate to this issue, whether the Agreement was breached by the Association is a separate and distinct dispute between the parties and does not arise out of any protected speech.

Step Two – Probability of Prevailing on the Merits

Once the defendant satisfies the first prong of the anti-SLAPP statute, the burden shifts to the plaintiff to demonstrate that the complaint is both legally sufficient and supported by a prima facie showing of facts to sustain a favorable judgment. (*Premier Med. Mgt. Systems, Inc. v. California Ins. Guar. Ass'n* (2006) 136 Cal.App.4th 464, 472.) To determine whether Plaintiff has shown a reasonable probability of prevailing on the merits of this claim at trial, the court must consider both the legal sufficiency of and evidentiary support for the pleaded claims, as well as defenses to them. (*McGarry v. University of San Diego* (2007) 154 Cal. App. 4th 97, 108.)

In opposing a SLAPP motion, the opposing party must present admissible evidence, and cannot rely on the allegations in its complaint. (*Roberts v. Los Angeles County Bar Ass'n* (2003) 105 Cal.App.4th 604, 613 to 614.) Affidavits or declarations "on information and belief" are hearsay and inadmissible evidence to show a probability that plaintiff will prevail. (*Evans v. Unkow* (1995) 38 Cal.App.4th 1490, 1497.) But

evidence excludable only because it lacks a proper foundation may be used if there is a high probability that plaintiff could establish a proper foundation at trial. (*Fashion 21 v. Coalition for Humane Immigrant Rights of Los Angeles* (2004) 117 Cal.App.4th 1138, 1148 [videotape lacking foundation on SLAPP could be considered because of high probability tape could be authenticated at trial.].)

The California Supreme Court recently held, “evidence may be considered at the anti-SLAPP motion stage if it is reasonably possible the evidence set out in supporting affidavits, declarations or their equivalent will be admissible at trial.” (*Sweetwater Union High School Dist. v. Gilbane Building Co.* (2019) 6 Cal.5th 931, 947.)

Defamation – Libel and Slander

Plaintiff alleges that the Association engaged in defamation per se (libel) by posting statements such as: (i) the contract with Sentinel requires a notice of termination and an agreed upon period for that transition to occur; and (ii) the Association provided Plaintiff with the appropriate notice, per the contract, and (iii) Plaintiff made the decision to abandon their operations without notice. (Complaint, ¶ 104.) Plaintiff alleges that the Association also engaged in defamation per se (slander) by stating that Plaintiff was informed of its pending termination and walked off the job to unidentified “current and prospective clients,” in addition to the statements set forth above. (Complaint, ¶110.)

As to the allegations regarding slander, Plaintiff has not submitted any evidence that the Association engaged in such alleged conduct, other than the allegations in the Complaint. “In opposing an anti-SLAPP motion, the plaintiff cannot rely on the allegations of the complaint, but must produce evidence that would be admissible at trial.” (*HMS Capital, Inc. v. Lawyers Title Co.* (2004) 118 Cal.App.4th 204, 212.) Therefore, the Court finds Plaintiff has not demonstrated a likelihood of prevailing on the merits of its slander per se claim.

The Court will now consider the merits of Plaintiff’s claim for libel. A publication must contain a false statement of fact to give rise to liability for defamation. (*Campanelli v. Regents of Univ. of Cal.* (1996) 44 Cal.App.4th 572, 578.) The critical determination of whether an allegedly defamatory statement

	constitutes fact or opinion is a question of law for the court. (Ibid.) In drawing such distinction, courts utilize a totality of the circumstances test that requires the court to put itself in the place of an average reader and decide the natural and probable effect of the statement. (Ibid.) Truth is an absolute defense to any libel action. (<i>Campanelli</i>, supra, 44 Cal.App.4th at 581-582.) California law permits the defense of substantial truth and would absolve a defendant even if she cannot “justify every word of the alleged defamatory matter; it is sufficient if the substance of the charge be proved true, irrespective of slight inaccuracy in the details.” “Minor inaccuracies do not amount to falsity so long as ‘the substance, the gist, the sting, of the libelous charge be justified.’” (<i>GetFugu, Inc. v. Patton Boggs LLP</i> (2013) 220 Cal.App.4th 141, 154, internal citation omitted.) Here, Plaintiff contends the Association engaged in repeated violations of the Agreement and unilaterally refused to pay the full November 2023 invoice, which Plaintiff contends was a material breach of the Agreement. Therefore on January 1, 2024, into January 3, 2024, Plaintiff effectively ceased rendering the entirety of security services for the Association and began to remove its equipment. (Complaint, ¶ 54.) Section 13 of the Agreement states, in relevant part: “[o]n the material breach of this Agreement by the Client, Sentinel may indicate its intent to terminate by providing Client a written 14-Day Notice of Intent to Terminate which shall specify the reason for the intended termination.” (Complaint, Ex. A.) Plaintiff argues that even though it is not required to provide any notice prior to termination, it provided ample correspondence to the Association about the issues and breaches of the Agreement. While Plaintiff’s allegations may be true, they do not make the Association’s statement false. The Association made true statements of fact that the Agreement required a notice of termination with an agreed upon period before termination goes into effect (i.e., 60-days), and that the Association provided Plaintiff with that 60-day notice. Furthermore, the Association’s statements that Plaintiff ceased providing security services after the Association sent Plaintiff a 60-day notice., is another true statement of fact. Although Plaintiff contends it had already terminated the Agreement, there is no allegation that Plaintiff issued a Notice of Termination, or otherwise notified the Association of its plan to cease
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operations. In the December 22, 2023, letter from Plaintiff's counsel to the Association, it does not state that Plaintiff would cease operations if the full amount of the November 2023 invoice was not paid. Rather, the letter demands the Association remit the payment in full by January 1, 2024, by 5:00 p.m. "as any actions otherwise will result in effectively withdrawing the Demand with direction to my Client to merely institute immediate legal action encompassing ALL relevant and necessary legal rights and remedies available to them." (Witcher Decl., Ex. 4.)

Plaintiff also contends the statement that "the Board of Directors has voiced concerns to them about their overall performance based upon observations of the Directors and feedback from the community" is untrue. As evidence, they submit the Association's newsletter dated January 5, 2024, which states "feedback from residents has been generally positive about our efforts to have a more efficient security patrol system. The deterrent factor of the vehicles and officers seem to be helping with many issues of the past." (Robinson Decl., Ex. I.) This statement, however, indicates the communities' approval of the existence of a security patrol. It does not prove that the Association had no concerns with Plaintiff's performance of such services.

The Association presented evidence that as early as July 2023, the Association had expressed concerns with Plaintiff's performance under the Agreement. One of the concerns is that Plaintiff's security guards had not obtained the required certifications. The Association followed-up with this issue on August 25, 2023, and Plaintiff had still not obtained all the necessary certifications. Additionally, after the patrol vehicle accident, the Association had raised to Plaintiff that it did not approve two security guards riding in one car and it did not wish to pay for the second security officer during the period when the second patrol car was being repaired.

In the Facebook post, the Association stated it "felt" that a change was necessary and opted to terminate the Agreement with Plaintiff. This is true. The Association makes no mention of any specific misconduct by Plaintiff, but simply states that Plaintiff was "unresponsive to some of the concerns expressed." There is nothing in this statement that contradicts Plaintiff's Complaint or the evidence submitted in opposition. Plaintiff admits that it rejected the Association's proposal to pay for only one security guard while the patrol car was being

	repaired. The Complaint itself acknowledges that the parties had several discussions concerning payment for the second security officer before the Association decided to terminate the Agreement. In light of the circumstances, the Association's statement that Plaintiff was unresponsive to some concerns is how they perceived the situation, and has not been demonstrated to be false. Accordingly, Plaintiff has not sustained its burden of demonstrating a probability of prevailing on the merits on its defamation causes of action. Remaining Causes of Action - Negligent/Intentional Interference with Prospective Economic Relations; Unfair Competition - § 17200; TRO and Preliminary and Permanent Injunction The remaining causes of action are predicated on the success of Plaintiff's defamation claims. Because Plaintiff has not demonstrated a probability of prevailing on the merits as to those claims, it cannot demonstrate a probability of prevailing on its claims for negligent/intentional interference with prospective economic relations, unfair competition and TRO and preliminary/permanent injunction. Moreover, Plaintiff has offered no argument in opposition with respect to these claims. Based on the foregoing, the Court GRANTS the motion as to the third through eighth causes of action. The motion is DENIED as to the first and second causes of action as they do not arise from a protected activity.
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